

Quovalize Staffing Services, LLC

MEMORANDUM

To
From
Date
Re

Audit file
Jonathan Vorquix, Controller
01/30/2026
Allowance for credit losses under ASC 326 - 12/31/2025

1. SCOPE AND POOLING

This memo documents management's estimate of expected credit losses on customer staffing-service receivables as of 12/31/2025. Receivables share similar risk characteristics within aging bands, so the portfolio is pooled by days past due: current, 1-30, 31-60, 61-90, over-90. Balances are aged from the due date.

2. METHODOLOGY

Expected loss rates are applied to each pool's open exposure. The rates reflect the collection history of each aging band, with older receivables carrying progressively higher expected loss content, and are reviewed annually against subsequent collections, write-offs, and recoveries retained by aging cohort. The prior-year reserve and sensitivity columns below are the annual back-test controls. Receivables with known collection risk carry a specific reserve in place of the pool rate; none were identified this year.

3. LOSS-RATE SUPPORT AS OF 12/31/2025

Aging pool	Exposure	Loss rate	Prior reserve	Reserve	Sensitivity
current	675,237.50	0.00%	0.00	0.00	6,752.38
1-30	281,290.00	5.00%	4,774.08	14,064.50	2,812.90
31-60	112,520.00	20.00%	7,638.81	22,504.00	1,125.20
61-90	33,932.50	50.00%	5,759.06	16,966.25	339.32
over-90	42,966.50	100.00%	14,584.64	42,966.50	429.66
Total	1,145,946.50			96,501.25	

Historical cohort calculation retained for the annual back-test:

The supporting allowance workbook retains 15 annual exposure-cohort rows and 24 customer/invoice-level write-off and recovery events, including dates, approval references, and source-ledger references. The table below is their pool-level reconciliation.

Pool	Lookback	Exposure	Write-offs	Recoveries	Net loss	Rate
current	2022-01-01 through 2024-12-31	1,500,000.00	0.00	0.00	0.00	0.00%
1-30	2022-01-01 through 2024-12-31	1,500,000.00	93,750.00	18,750.00	75,000.00	5.00%

Quovalize Staffing Services, LLC (continued)

Pool	Lookback	Exposure	Write-offs	Recoveries	Net loss	Rate
31-60	2022-01-01 through 2024-12-31	1,500,000.00	375,000.00	75,000.00	300,000.00	20.00%
61-90	2022-01-01 through 2024-12-31	1,500,000.00	937,500.00	187,500.00	750,000.00	50.00%
over-90	2022-01-01 through 2024-12-31	1,500,000.00	1,875,000.00	375,000.00	1,500,000.00	100.00%

Independent direct-source reperformance:

Pool	Direct source	Exposure	Recomputed	Recorded	Difference	Result
current	Confirmation reference History Ledger 2025 001; Confirmation reference Specific Risk 2025 001; Confirmation reference Economic Overlay 2025	675,237.50	0.00	0.00	0.00	passed
1-30	Confirmation reference History Ledger 2025 002; Confirmation reference Specific Risk 2025 002; Confirmation reference Economic Overlay 2025	281,290.00	14,064.50	14,064.50	0.00	passed
31-60	Confirmation reference History Ledger 2025 003; Confirmation reference Specific Risk 2025 003; Confirmation reference Economic Overlay 2025	112,520.00	22,504.00	22,504.00	0.00	passed
61-90	Confirmation reference History Ledger 2025 004; Confirmation reference Specific Risk 2025 004; Confirmation reference Economic Overlay 2025	33,932.50	16,966.25	16,966.25	0.00	passed
over-90	Confirmation reference History Ledger 2025 005; Confirmation reference Specific Risk 2025 005; Confirmation reference Economic Overlay 2025	42,966.50	42,966.50	42,966.50	0.00	passed

4. FORWARD-LOOKING CONSIDERATIONS

Current-year conditions did not require a qualitative overlay for 2025: customer concentration, assignment demand, collection cadence, and labor- market conditions affecting the customer staffing-service receivables base are consistent with the historical period underlying the pool rates, so no adjustment to the historical loss rates was recorded.

5. CONCLUSION

Quovalize Staffing Services, LLC (continued)

The recorded allowance equals the pool-level estimate above and is reassessed at each reporting date.

Recorded allowance	96,501.25
Judgmental sensitivity (not a known misstatement)	11,459.47
Known best-estimate difference	0.00

6. SUBSEQUENT-COLLECTION AND SPECIFIC-RISK REVIEW

The following invoice-level back-test matches cash applications through 02/17/2026 to the year-end aging and documents the specific-risk conclusion for each remaining open item.

Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-50644	current	6,940.00	6,940.00	0.00	Collected after year end; no specific reserve
INV-50604	current	16,700.00	16,700.00	0.00	Collected after year end; no specific reserve
INV-50645	current	4,080.00	4,080.00	0.00	Collected after year end; no specific reserve
INV-50646	current	15,372.50	15,372.50	0.00	Collected after year end; no specific reserve
INV-50583	current	2,490.00	0.00	2,490.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50642	current	8,475.00	8,475.00	0.00	Collected after year end; no specific reserve
INV-50619	current	11,875.00	11,875.00	0.00	Collected after year end; no specific reserve
INV-50541	current	11,497.50	0.00	11,497.50	Covered by aging-pool reserve; no specific-loss indicator
INV-50617	current	5,737.50	5,737.50	0.00	Collected after year end; no specific reserve
INV-50638	current	5,092.50	5,092.50	0.00	Collected after year end; no specific reserve
INV-50649	current	15,045.00	0.00	15,045.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50591	current	2,375.00	2,375.00	0.00	Collected after year end; no specific reserve
INV-50640	current	10,305.00	10,305.00	0.00	Collected after year end; no specific reserve
INV-50620	current	18,475.00	18,475.00	0.00	Collected after year end; no specific reserve
INV-50630	current	19,680.00	19,680.00	0.00	Collected after year end; no specific reserve
INV-50568	current	3,975.00	3,975.00	0.00	Collected after year end; no specific reserve
INV-50606	current	6,207.50	0.00	6,207.50	Covered by aging-pool reserve; no specific-loss indicator
INV-50626	current	6,300.00	6,300.00	0.00	Collected after year end; no specific reserve
INV-50627	current	14,250.00	14,250.00	0.00	Collected after year end; no specific reserve
INV-50572	current	3,270.00	0.00	3,270.00	Covered by aging-pool reserve; no specific-loss indicator

Quovalize Staffing Services, LLC (continued)

Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-50605	current	14,805.00	14,805.00	0.00	Collected after year end; no specific reserve
INV-50542	current	18,532.50	0.00	18,532.50	Covered by aging-pool reserve; no specific-loss indicator
INV-50592	current	15,850.00	15,850.00	0.00	Collected after year end; no specific reserve
INV-50643	current	15,100.00	15,100.00	0.00	Collected after year end; no specific reserve
INV-50650	current	7,085.00	7,085.00	0.00	Collected after year end; no specific reserve
INV-50653	current	18,780.00	18,780.00	0.00	Collected after year end; no specific reserve
INV-50585	current	9,800.00	0.00	9,800.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50615	current	18,080.00	0.00	18,080.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50628	current	2,820.00	2,820.00	0.00	Collected after year end; no specific reserve
INV-50599	current	10,825.00	10,825.00	0.00	Collected after year end; no specific reserve
INV-50654	current	5,285.00	5,285.00	0.00	Collected after year end; no specific reserve
INV-50578	current	9,900.00	0.00	9,900.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50582	current	11,912.50	11,912.50	0.00	Collected after year end; no specific reserve
INV-50569	current	12,375.00	0.00	12,375.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50655	current	15,910.00	0.00	15,910.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50609	current	9,765.00	9,765.00	0.00	Collected after year end; no specific reserve
INV-50618	current	19,320.00	0.00	19,320.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50595	current	3,600.00	3,600.00	0.00	Collected after year end; no specific reserve
INV-50621	current	19,700.00	19,700.00	0.00	Collected after year end; no specific reserve
INV-50564	current	15,662.50	15,662.50	0.00	Collected after year end; no specific reserve
INV-50656	current	10,845.00	10,845.00	0.00	Collected after year end; no specific reserve
INV-50567	current	6,565.00	6,565.00	0.00	Collected after year end; no specific reserve
INV-50631	current	4,030.00	4,030.00	0.00	Collected after year end; no specific reserve
INV-50610	current	13,225.00	13,225.00	0.00	Collected after year end; no specific reserve
INV-50641	current	3,340.00	3,340.00	0.00	Collected after year end; no specific reserve

Quovalize Staffing Services, LLC (continued)

Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-50629	current	3,060.00	0.00	3,060.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50575	current	14,460.00	14,460.00	0.00	Collected after year end; no specific reserve
INV-50607	current	15,712.50	0.00	15,712.50	Covered by aging-pool reserve; no specific-loss indicator
INV-50570	current	12,100.00	0.00	12,100.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50608	current	8,337.50	0.00	8,337.50	Covered by aging-pool reserve; no specific-loss indicator
INV-50633	current	7,320.00	7,320.00	0.00	Collected after year end; no specific reserve
INV-50616	current	6,650.00	0.00	6,650.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50613	current	16,012.50	16,012.50	0.00	Collected after year end; no specific reserve
INV-50603	current	12,060.00	12,060.00	0.00	Collected after year end; no specific reserve
INV-50634	current	17,075.00	17,075.00	0.00	Collected after year end; no specific reserve
INV-50622	current	14,657.50	14,657.50	0.00	Collected after year end; no specific reserve
INV-50597	current	10,570.00	10,570.00	0.00	Collected after year end; no specific reserve
INV-50586	current	2,070.00	2,070.00	0.00	Collected after year end; no specific reserve
INV-50612	current	2,087.50	0.00	2,087.50	Covered by aging-pool reserve; no specific-loss indicator
INV-50602	current	16,515.00	16,515.00	0.00	Collected after year end; no specific reserve
INV-50635	current	6,650.00	0.00	6,650.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50588	current	17,610.00	0.00	17,610.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50625	current	2,362.50	2,362.50	0.00	Collected after year end; no specific reserve
INV-50576	current	2,625.00	0.00	2,625.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50579	current	5,887.50	0.00	5,887.50	Covered by aging-pool reserve; no specific-loss indicator
INV-50577	current	160.00	0.00	160.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50598	1-30	17,062.50	17,062.50	0.00	Collected after year end; no specific reserve

Quovalize Staffing Services, LLC (continued)

Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-50557	1-30	15,925.00	15,925.00	0.00	Collected after year end; no specific reserve
INV-50475	1-30	15,505.00	15,505.00	0.00	Collected after year end; no specific reserve
INV-50534	1-30	15,630.00	15,630.00	0.00	Collected after year end; no specific reserve
INV-50527	1-30	9,840.00	0.00	9,840.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50484	1-30	9,597.50	9,597.50	0.00	Collected after year end; no specific reserve
INV-50520	1-30	4,455.00	4,455.00	0.00	Collected after year end; no specific reserve
INV-50532	1-30	10,107.50	0.00	10,107.50	Covered by aging-pool reserve; no specific-loss indicator
INV-50481	1-30	6,387.50	0.00	6,387.50	Covered by aging-pool reserve; no specific-loss indicator
INV-50535	1-30	18,232.50	0.00	18,232.50	Covered by aging-pool reserve; no specific-loss indicator
INV-50524	1-30	11,902.50	11,902.50	0.00	Collected after year end; no specific reserve
INV-50560	1-30	8,760.00	8,760.00	0.00	Collected after year end; no specific reserve
INV-50540	1-30	15,825.00	0.00	15,825.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50521	1-30	9,345.00	9,345.00	0.00	Collected after year end; no specific reserve
INV-50526	1-30	4,900.00	4,900.00	0.00	Collected after year end; no specific reserve
INV-50561	1-30	6,575.00	6,575.00	0.00	Collected after year end; no specific reserve
INV-50529	1-30	9,960.00	0.00	9,960.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50539	1-30	17,700.00	17,700.00	0.00	Collected after year end; no specific reserve
INV-50487	1-30	6,125.00	0.00	6,125.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50518	1-30	7,735.00	7,735.00	0.00	Collected after year end; no specific reserve
INV-50538	1-30	9,420.00	9,420.00	0.00	Collected after year end; no specific reserve
INV-50519	1-30	16,300.00	16,300.00	0.00	Collected after year end; no specific reserve
INV-50533	1-30	16,625.00	16,625.00	0.00	Collected after year end; no specific reserve
INV-50516	1-30	17,375.00	0.00	17,375.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50472	31-60	9,845.00	0.00	9,845.00	Covered by aging-pool reserve; no specific-loss indicator

Quovalize Staffing Services, LLC (continued)

Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-50489	31-60	7,487.50	7,487.50	0.00	Collected after year end; no specific reserve
INV-50479	31-60	8,025.00	8,025.00	0.00	Collected after year end; no specific reserve
INV-50482	31-60	17,862.50	17,862.50	0.00	Collected after year end; no specific reserve
INV-50488	31-60	6,350.00	6,350.00	0.00	Collected after year end; no specific reserve
INV-50471	31-60	14,197.50	14,197.50	0.00	Collected after year end; no specific reserve
INV-50491	31-60	7,250.00	0.00	7,250.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50483	31-60	11,050.00	11,050.00	0.00	Collected after year end; no specific reserve
INV-50492	31-60	13,702.50	13,702.50	0.00	Collected after year end; no specific reserve
INV-50480	31-60	2,790.00	2,790.00	0.00	Collected after year end; no specific reserve
INV-50476	31-60	5,175.00	5,175.00	0.00	Collected after year end; no specific reserve
INV-50517	31-60	4,030.00	0.00	4,030.00	Covered by aging-pool reserve; no specific-loss indicator
INV-50490	31-60	4,755.00	4,755.00	0.00	Collected after year end; no specific reserve
INV-50422	61-90	9,412.50	0.00	9,412.50	Covered by aging-pool reserve; no specific-loss indicator
INV-50367	61-90	6,712.50	0.00	6,712.50	Covered by aging-pool reserve; no specific-loss indicator
INV-50424	61-90	8,027.50	0.00	8,027.50	Covered by aging-pool reserve; no specific-loss indicator
INV-50371	61-90	9,600.00	9,600.00	0.00	Collected after year end; no specific reserve
INV-50421	61-90	180.00	180.00	0.00	Collected after year end; no specific reserve
INV-50280	over-90	11,880.00	11,880.00	0.00	Collected after year end; no specific reserve
INV-50323	over-90	10,272.50	10,272.50	0.00	Collected after year end; no specific reserve
INV-50370	over-90	120.00	120.00	0.00	Collected after year end; no specific reserve
INV-50045	over-90	5,940.00	0.00	5,940.00	Open-item aging and sponsor payment history reviewed; pool reserve retained, with no additional specific-loss indicator
INV-50030	over-90	5,920.00	0.00	5,920.00	Open-item aging and sponsor payment history reviewed; pool reserve retained, with no additional specific-loss indicator
INV-50038	over-90	4,496.00	4,496.00	0.00	Collected after year end; no specific reserve

Quovalize Staffing Services, LLC (continued)

Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-50062	over-90	4,338.00	4,338.00	0.00	Collected after year end; no specific reserve

Jonathan Vorquix